



FIYMA Program

2nd July 2026

FINANCIAL MANAGEMENT GUIDELINES

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Agenda

1. General Conditions
2. Reporting Guidelines
3. Key Guidelines and Requirements
4. Reporting Template
5. Questions



General Conditions

Parties & Framework

MESPT holds the primary grant from the Mastercard Foundation; The consortium serves as sub-grantee under a 5-year agreement (Dec 2025–Oct 2030)

Consortium is an independent contractor — not an employee. It bears full responsibility for its staff, taxes and insurance, and must act in good faith, complying with all lawful MESPT & Mastercard Foundation instructions at all times.

Non-compliance constitutes a material breach of the Agreement.

Consortium must adhere to the Mastercard Foundation policies, Kenyan data protection law, AML legislation and anti-corruption standards- non-compliance constitutes a material breach of the Agreement.

- Kenyan data protection law,
- AML legislation and
- anti-corruption standards
- Mastercard Foundation code of conduct compliance
- Child & Youth Safeguarding Guidelines
- No political party support or lobbying
- Economic sanctions — Canada, US & UN

Budget Format

Cost Category	Description	Example
DIRECT PEOPLE COSTS	Personnel, whom would not be incurred otherwise, if not for the existence of the program.	Program Manager, who is hired specifically to carry out the program being funded
INDIRECT PEOPLE COSTS	Shared across different programs or regular operations of the organization but have a contribution to the programme	ICT Manager, who spends some of their time supporting the program being funded, but also completes ICT tasks for the broader organization
PROGRAM COSTS represent what is required for the program other than people or capital assets.		
EVENT COSTS	What is required for organizing any kind of event related to the implementation of the program	Community program launch, 'Technical working group meeting' or 'Training workshop'
TRAVEL COSTS	What is required for any travel related to the implementation of the program	Travel required to attend ,events, mobilisation trips, workshops etc.
INDIVIDUAL BENEFICIARY COSTS	What is required for direct recipients of the program.	Loans, capacity building of FI,Demo kits e.tc
OTHER SPECIFIC PROGRAM COSTS	What is required for other costs not captured elsewhere.	Office rent, Travel,office operations
CAPITAL ASSET COSTS	What is required for equipment and assets to implement the program.	Laptops for staff' or 'Office equipment

Specifically Excluded Costs

- Existing facility costs (i.e. rent, utilities, maintenance etc.)
- 'Existing information technology equipment and support (i.e. MIS)
- Existing shared equipment and maintenance
- Depreciation/amortization of equipment
- Banking fees on existing accounts
- Non-project specific advertising and promotion

- Board activities
- Business development activities
- Insurance (i.e. general liability, office etc.)
- General staff training
- Memberships and subscriptions
- General administrative support (i.e. executive management, institutional legal or IT support, security, shared procurement costs, general logistics support, human resources etc.)

Reporting



Narrative Report

Describes the progress of project activities compared to the workplan established for the period.



LINK THE TWO REPORTS.

Each report on its own is only half of the story



Financial Report

Details the spending on the project to date, compared to the budget for the period.

Reporting

Frequency

- ☐ Monthly- 21days
- ☐ Quarterly to 21 days
- ☐ Consortium-45 days after each quarter

Templates

- ☐ Financial report template on excel (prepopulated)
- ☐ Narrative report template on word

Requirements

- ☐ Narrative report
- ☐ Financial report
- ☐ Asset Register
- ☐ 100% supporting documents
- ☐ Quarterly meetings

Eligible Spend

Incurred during program
implementation period ①

Within the overall budget ②

Necessary for the implementation of
the program ③

Identifiable, reasonable and
verifiable ④



① Costs incurred prior to contract date

② Costs above the total approved
budget

③ Provisions for losses

④ Bad debts



Supporting Documents

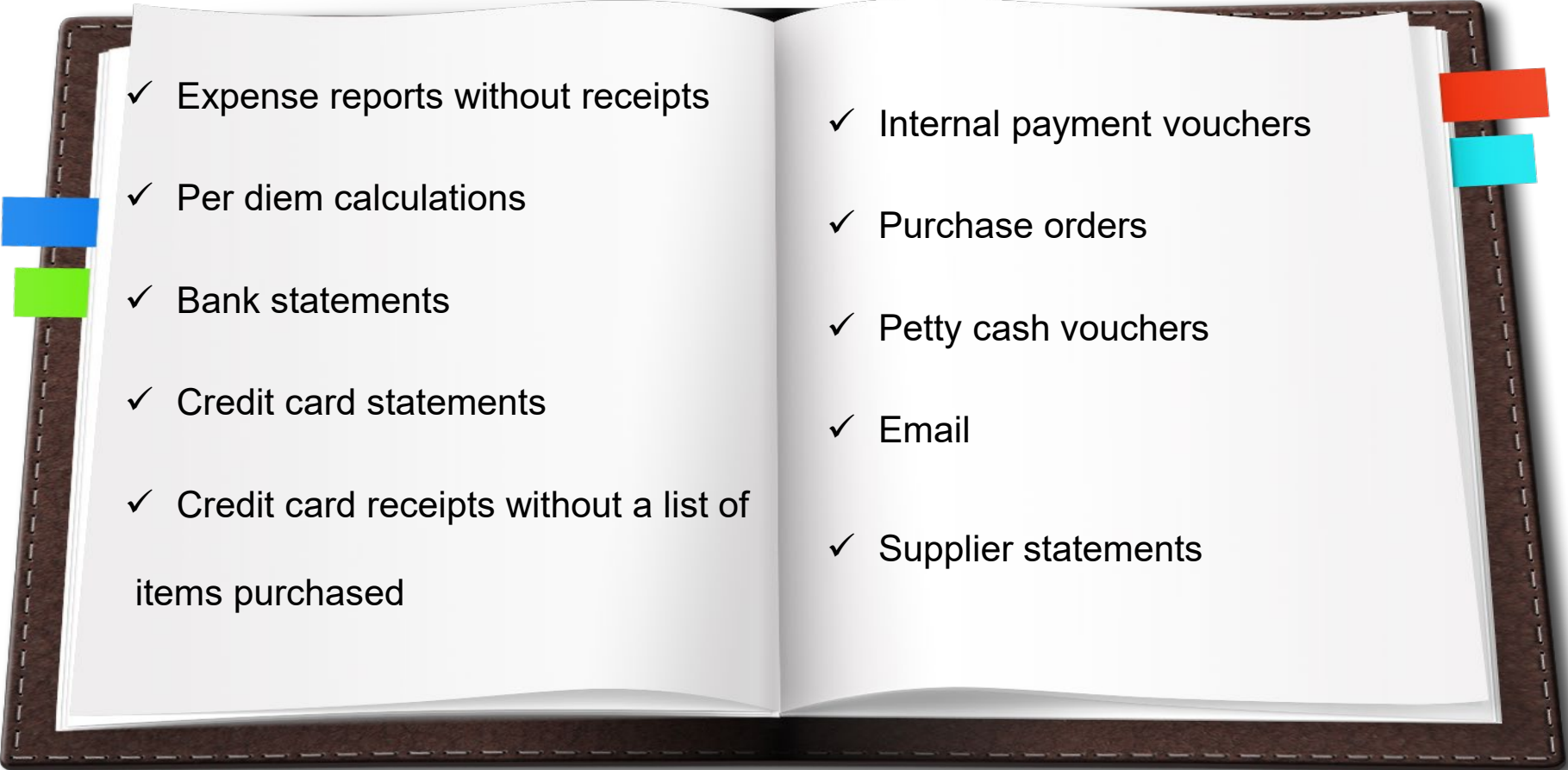
Direct People cost	Direct program costs	Training for business beneficiaries	Stipends/allowances
✓ Payroll summary; with employee names, titles, daily rates, and timesheet claimed to MCF project in the reporting period	✓ Invoice supporting documentation that demonstrates how these costs have a direct relationship to the project	✓ Invoice from college/ supplier	✓ Invoice accompanied by list of beneficiaries and allowances each beneficiary is entitled to receive;
✓ The summary must be signed/stamped by someone who has legal binding authority to the organization, such as the person who signed the contract with MCF.	✓ Original Receipt	✓ List of beneficiaries, showing details such as: full names, ID no, year/term of enrolment,	✓ Proof of payment to beneficiaries: at a minimum, this should be a Mobile money transfer list (from integrator/bank, showing participant names, mobile phone number, amount received),
✓ Confirmation of Bank Account debit/Transfer evidence, equivalent to the net.	✓ `Proof of payment/Bank Remittance	✓ Proof of payment/original receipt/Bank remittance	✓ OR signed payment form (this must be signed by each individual beneficiary against a specific amount);
✓ Valid staff contracts; Submitted once and every time changes to the contract occurs. ✓ The contract must be signed by the employee & employer; state the validity period (period of contract) and clearly indicate the applicable salary rate & allowances/benefits	✓ Procurements of services or items above \$1,000 need to show sufficient detail for competition, best price, and value for money, as much as possible ✓ Proof of delivery, completion of work	✓ Enrolment letters, class attendance list, proof of completion of studies	✓ Evidence of enrolment to the program

Supporting Documents

Professional fees/Consultants	Capital Assets above USD 1,000 per unit	Travel Expense
✓ Consultant contracts	✓ Invoice	✓ Invoice ✓ Travel approval
✓ Original invoices	✓ Proof of Payment via bank remittance, cheques etc. ✓ Supplier receipt	✓ Proof of Payment via bank remittance, cheques etc. ✓ Boarding pass ✓ Approved mileage computation
✓ Receipt of payment /Proof of payment via bank remittance, cheques etc.	✓ Asset registers	✓ Receipt from vendor
✓ Evidence of delivery of work by consultant. ✓ Procurements of services or items above \$1,000 need to show sufficient detail for competition, best price, and value for money, as much as possible	✓ Evidence of delivery. ✓ Procurements of services or items above \$1,000 need to show sufficient detail for competition, best price, and value for money, as much as possible	✓ Back to office report ✓ Maximum 4 start hotel,economy class flight travel and USD 125 maximum per diem

Insufficient Documentation

These documents on their own cannot adequately support spending

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- ✓ Expense reports without receipts
 - ✓ Per diem calculations
 - ✓ Bank statements
 - ✓ Credit card statements
 - ✓ Credit card receipts without a list of items purchased

- ✓ Internal payment vouchers
- ✓ Purchase orders
- ✓ Petty cash vouchers
- ✓ Email
- ✓ Supplier statements

Receipting

Assists the Mastercard Foundation in verifying the accuracy of financial reports



Submit electronic (scanned) copies of receipts

for all the funds spent during the period, except for the expenses covered by the project delivery fee.



Retain the original paper copies

The Foundation may require your organization to submit the original paper copies for CRA audit.

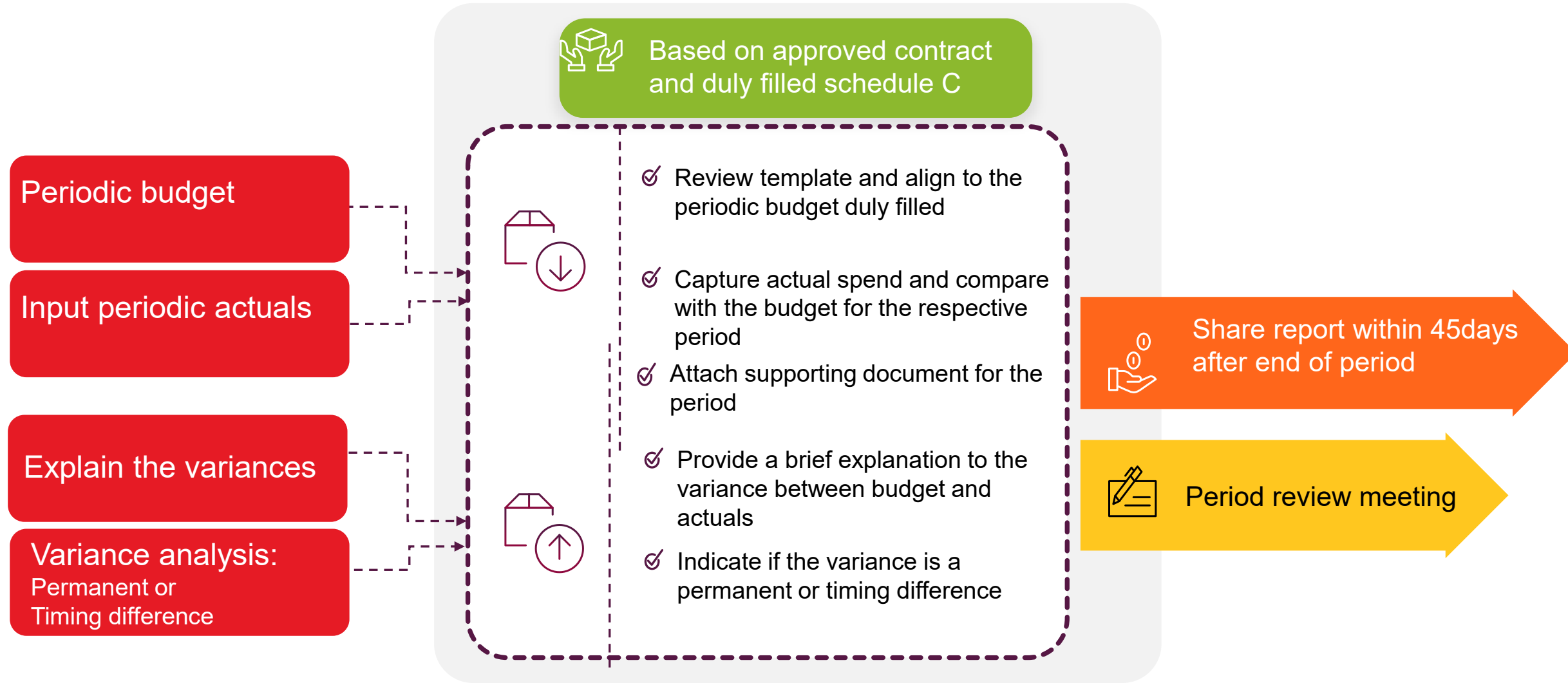


Seek guidance

The Foundation's finance focal person can offer clarification on receipt guidance



Financial Reporting Template



Variance Analysis

Timing Differences

A **temporary** variance.

- Occurs when funds were or will be spent in a different period than budgeted for.
- They go away on their own as time unfolds, they do not lead to re-allocation of funds.
- E.g., if you had budgeted for a consultant to translate a report in Q2 but the work was delayed to Q3 because the report was not ready for the translator on time, your Q2 report would show a variance because the translation consultant was not paid in Q2.

Permanent Difference

A **permanent** variance

- Occurs when an item costs more or less than budgeted, an item was not ultimately needed, or an item was purchased that was not budgeted for.
- Because permanent variances do not go away on their own as time unfolds, they require **re-allocation**.
- E.g., if you had budgeted for one day of a consultant's time at an expected daily rate of \$1,000 to translate a report and it took the consultant a day and a half to perform the work and they charge \$800/day, your financial report would show a variance of \$200 over budget (\$1,000 budget minus \$1,200 actual cost).

Variance > 10% against budget

The Schedule C for each period of the project summarizes the budget for that period by major cost lines (salaries, professional fees, travel etc.)

- We recognize that actual spending will likely differ
- Any of the line items set out in Schedule C can be increased or decreased by up to 10%
- Any spending greater than the 10% limit requires the prior approval of the Foundation.

Change Request Form

What was initially proposed?	What change is being proposed?	Reason for change	Implication of change	Change accepted by	Date when change was enacted
Direct people cost increased by 10% from initial total allocation from \$2,232to \$ 2,555					
Drivers Initial budget 0\$	Increased by \$187	This is to cover for a drivers' roles as we have centralised operations at head office and the shall facilitate all the field travels	The overall impact is an increase in 10% on the initial budget which shall be covered by reallocations from other programme specific costs and capital assets costs		
Initial budget \$0					



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